Walmart Project 1 | Edition B Investment Committee Memo

FIN 43900 | Purdue University | October 12, 2026
Investment Recommendation: Watch–Defer
Proposed Valuation Date: September 23, 2026
Market Reference: Walmart closing price of $110.53 on September 23, 2026
Units: USD millions unless otherwise noted

Executive Recommendation

My recommendation for Walmart is **Watch–Defer**. I would not initiate a position based on the September 23, 2026 closing price of $110.53. My V3 DCF scenarios resulted in values between **$32.40 and $44.00 per share**, while the Target-based comparisons gave me values of **$44.74 to $49.24**. I also considered a broader **$31–$49 reference zone** based on different assumptions. These results are considerably below the market price.

The reverse DCF also showed that Walmart would need much higher revenue growth or major operating improvements for my model to support $110.53. However, I would not treat my calculated values as fully verified. I still need to confirm the WACC, diluted share count, cash and debt amounts, finance-lease treatment, and some working-capital classifications. Because those inputs can change the valuation, I would keep Walmart on watch rather than make a purchase decision based on the model alone.

Valuation-Date Convention

I used **September 23, 2026** as the proposed valuation date for this memo. My Edition A used September 1, 2026, and I kept that original date unchanged. I also kept my earlier `Walmart_Project_1_Edition_B.md` report as part of the project history.

There is one timing issue I still need to resolve: my September 23 stock-price reference is matched to that date, but the V3 equity bridge uses July 31 balance-sheet amounts and an August 26 basic share count. The forecast also starts with FY2026 results. This means the valuation inputs do not all come from the same date.

Operating and Investment Thesis

Walmart reported **$706.413 billion in FY2026 net sales**, **$6.750 billion in membership and other income**, **$713.163 billion in total revenue**, and **$29.825 billion in operating income**. I think Walmart's large store network, grocery business, online operations, and membership and advertising opportunities could help support future sales and operating performance. However, those potential benefits still need to be supported by the financial results.

I also looked at Walmart's FY2027 second-quarter filing, which covered the six months ended July 31, 2026. Total revenue increased to **$365.688 billion** from **$343.011 billion** in the previous-year period, while operating income increased to **$16.876 billion** from **$14.421 billion**. These results help show how the business was performing, but they do not guarantee the same growth over the next five years.

The main question for me is whether Walmart's future growth and profitability can support its market price. Improving digital operations, membership, advertising, and productivity could help. On the other hand, competition, consumer spending, labor costs, capital spending, and working-capital needs could reduce the cash flow available to investors.

Five-Year V3 Base Forecast

I built a five-year forecast covering **FY2027–FY2031**, including total revenue, operating income, and free cash flow to the firm (FCFF). These are my model estimates, not projections issued by Walmart.

Fiscal year	Revenue	Operating income (EBIT)	FCFF
2027	$743,829.0	$33,223.9	$13,118.4
2028	775,069.8	34,592.0	13,414.3
2029	806,072.6	35,917.1	14,702.3
2030	836,703.4	37,190.8	15,924.7
2031	865,988.0	38,215.8	16,912.9

For revenue, I assumed annual growth of **4.3%, 4.2%, 4.0%, 3.8%, and 3.5%** for both net sales and membership/other income. I also assumed gross margin on net sales would rise from **25.00% to 25.30%**, while cash operating expense as a share of operating gross profit would fall from **75.2% to 74.5%**.

My planned capital spending is **$26 billion, $28 billion, $29 billion, $30 billion, and $31 billion** across those five years. Other assumptions include **40.12 inventory days**, **42.99 accounts-payable days**, receivables at **1.5665% of revenue**, and a **24.5% cash-tax rate**. I used the V3 financing and lease schedules as well. These assumptions helped me build the forecast, but not all of them have been independently verified.

Causal Scenarios and Valuation

I tested downside, base, and upside cases by changing the operating assumptions rather than setting the stock price directly. All three cases use the same provisional **7.00% WACC**, **2.50% terminal growth rate**, equity bridge, and **7,933.746241 million basic shares** from August 26, 2026.

Scenario	Enterprise Value	Equity Value	Per Share	Terminal Value / EV
Downside	$300,069.4	$257,020.4	**$32.40**	82.35%
Base	$334,855.6	$291,806.6	**$36.78**	82.03%
Upside	$392,133.3	$349,084.3	**$44.00**	81.21%

In the **downside case**, I reduced revenue growth by 0.50 percentage points each year, lowered gross margin by 10 basis points, increased the cash operating expense ratio by 20 basis points, and assumed less favorable inventory, payables, and receivables. The result was **$32.40 per share**. The model passed its internal checks, with a peak revolver balance of **$2,125.5 million** against the **$15,000 million** limit.

The **base case** used the original V3 assumptions and produced **$36.78 per share**, with no revolver draw. In the **upside case**, I increased growth by 1.00 percentage point a year, improved the gross and cash operating expense margins, increased annual capex by $1.5 billion, and assumed better working-capital performance. This gave me **$44.00 per share**.

One issue with the upside case is that it includes about **$9.022 billion in FY2027 working-capital release**. I do not have an operating plan showing how Walmart would achieve this improvement, so it should not be treated as recurring cash flow. The downside case instead includes **$2.160 billion in FY2027**

working-capital investment. All three scenarios passed the programmed accounting, financing, liquidity, and DCF checks, but those tests do not prove that the operating assumptions will happen.

Enterprise-to-Equity Bridge

After estimating enterprise value, I adjusted for cash, debt, and finance leases to calculate equity value, then divided by the share count. My V3 base case produced the following results:

Bridge item	Amount	Current treatment / evidence status
Enterprise value	$334,855.6	V3 DCF output
Cash	+11,529	July 31, 2026 balance-sheet cash; reported balance, but excess/ unrestricted amount not established
Debt	−47,746	July 31 mixed proxy: short-term carrying amount plus long-term debt fair-value disclosure; not a September 23 market value
Finance leases	−6,832	July 31 reported finance-lease liability; deducted as financing claim under V3 policy
Noncontrolling interests	0	Assumed zero adjustment; value not established
Nonoperating investments	0	Assumed zero adjustment; qualifying value and date not established
Equity value	$291,806.6	Arithmetic result, not final source-verified equity value
Shares	7,933.746241	August 26 basic shares outstanding; not a September 23 diluted share count
Value per share	**$36.7804**	Equity value ÷ August 26 basic shares

My base-case enterprise value was **$334,855.6 million**, which resulted in **$291,806.6 million in equity value** and **$36.7804 per basic share**. The arithmetic works, but there are still questions about the inputs.

For example, the **$11,529 million cash**, **$47,746 million debt**, and **$6,832 million finance leases** come from July 31, not September 23. I have not confirmed how much cash should count as excess cash or whether all debt and lease adjustments are measured consistently. I also used zero adjustments for noncontrolling interests and nonoperating investments because those values have not been established.

The share count is another concern. Walmart's **8,022 million FY2026 weighted-average diluted shares** are not a point-in-time figure, while my **7,933.746241 million August 26 shares** are basic rather than diluted. Before relying on the per-share result, I would need a consistent diluted share count and a complete review of the equity bridge. I would also check operating-lease and finance-lease treatment so the same obligations are not counted twice.

WACC, Terminal Value, and Conditional Range

My V3 DCF uses a **7.00% WACC** and **2.50% terminal growth rate**. Both are still provisional. Earlier calculations produced **6.6774%** from a different assumption set and an illustrative **7.6748%** using market-rate inputs, but I have not established a final source-verified WACC.

The illustrative 7.6748% calculation used a **5.11% 10-year Treasury rate**, **0.55 beta**, **5.00% equity risk premium**, **5.66% AA corporate-yield debt-cost proxy**, and **24.5% tax rate**. I also found a consistency issue: the Kroll equity risk premium methodology calls for a spot 20-year Treasury rate rather than the 10-year rate used in that example.

At a 7.00% WACC, the V3 base case was **$36.78 per share**. Using the illustrative 7.6748% WACC with the same terminal growth rate lowered it to approximately **$31.19**. Around **82% of base-case enterprise value** comes from terminal value, so changes to these long-term assumptions can have a large impact.

I used **$31–$49 per share** as a broader reference zone to compare the higher-WACC result with a Target-based valuation. It is not a fully verified fair-value range or an automatic trading rule. My actual three operating scenarios at 7.00% WACC produce values of **$32.40–$44.00**.

Reverse DCF Versus the $110.53 Market Price

I used the reported **September 23, 2026 closing price of $110.53** to work backward through my model. My base DCF was **$36.78**, or about **$73.75 lower** than that price. The historical closing price came from a secondary market-data source.

The reverse DCF showed that I could mathematically reach $110.53 in more than one way:

- Increase annual growth for both net sales and membership/other income by **11.1845 percentage points**. This would produce annual growth of about **15.48%, 15.38%, 15.18%, 14.98%, and 14.68%** and approximately **$1.443 trillion in FY2031 revenue**.
- Reduce the cash operating expense ratio relative to operating gross profit by about **17.1921 percentage points**, which would imply cash operating expense ratios near **58.01%–57.31%** and EBIT margins close to **8.9%**.

Both approaches can reproduce the market price in the model, but neither is a verified forecast. They depend on the same provisional WACC, equity bridge, and shares. I would want to see much stronger evidence of sustained growth or operating improvement before using either scenario to support buying at the market price.

Comparable-Company Valuation: Target and Costco

I also compared Walmart with **Target and Costco** to see how other retailers were valued. Target is a closer general-merchandise comparison, while Costco operates a different warehouse and membership model and trades at higher multiples.

Peer (Sep. 23 close)	TTM GAAP operating income	EV / EBIT	P/E	Walmart implied per-share indications using documented V3 conversion
Target ($156.26)	$6,024M	13.4353x	16.2095x	$49.24 EV/EBIT; $44.74 P/E
Costco ($904.70)	$11,225M	34.4753x	45.5080x	$134.84 EV/EBIT; $125.60 P/E

Target's multiples implied approximately **$49.24 per Walmart share using EV/EBIT** and **$44.74 using P/E**. Costco's higher multiples implied **$134.84** and **$125.60**, respectively. The difference showed me why peer selection matters and why I would not simply average all four results.

There are limitations to these comparisons. Target's trailing operating income includes a reported **$994 million tariff-refund benefit** that I did not normalize. Costco's latest reporting period ended **May 10, 2026**, while Walmart and Target had later interim filings. The peer share counts and balance-sheet amounts also come from different dates. In addition, the enterprise-value calculations do not use fully consistent lease treatment. I treated Costco as a premium comparison rather than the central basis for Walmart's value.

Risks, Uncertainties, and Falsification Questions

There are several things that could cause Walmart's financial results to be different from my forecast. These include consumer spending, price competition, gross margins, labor and fulfillment costs, capital spending, inventory, supplier payment terms, and financing needs. My DCF is also very sensitive to the WACC and terminal assumptions.

The questions I would want to answer before making a stronger investment recommendation are:

- Can Walmart maintain the projected revenue growth and improve operating margins at the same time?
- Are the inventory, payable, and other working-capital assumptions realistic, particularly the **$9.022 billion upside release**?
- Would Walmart need more spending on stores, technology, labor, or leases to achieve its growth?
- How much of the reported cash is actually available to shareholders, and which debt-like claims belong in the bridge?
- Would a verified WACC and a consistent diluted share count materially change the valuation?
- Would Target's unusual tariff-refund benefit and the differences between the peers change my comparison results?

Watch, Initiate, or Do Not Initiate Conditions

Initiate: I would consider initiating only after verifying the main valuation inputs, reviewing the operating assumptions, and identifying a reasonable margin of safety between the market price and the supported value. I have not set a final margin-of-safety threshold in this memo.

Watch–Defer: This is my current recommendation. I want to wait for better support for the valuation inputs, especially with the reported market price well above my model's values. Upcoming financial results could

also help show whether Walmart is moving toward the growth and margin assumptions required to support that price.

Do Not Initiate: I would avoid initiating at the current price if supporting it requires unusually high growth or operating improvements without financial evidence. Additional liquidity pressure or lower verified valuation estimates would make me more cautious.

Research Plan and Monitoring Triggers

Before making a final investment decision, I would first verify the share count, cash, debt, and lease balances using sources that match the valuation date. I would also develop a better-supported WACC, review the working-capital classifications and supplier-financing arrangements, and take another look at the upside working-capital release.

For future quarterly filings, I would monitor net sales separately from membership and other income, operating margins, digital and membership performance, capital spending, inventory, payables, receivables, cash, borrowing levels, lease obligations, and share counts. I would compare those results with the assumptions in my model and rerun the analysis when there is a meaningful change.

I would also update the Target and Costco comparisons using consistent reporting periods and make adjustments for unusual items. The **$31–$49 reference zone** would help me identify when the valuation deserves another review, but I would not use it by itself as a buy or sell signal.

Sources and Supporting Evidence

I used company filings for the reported financial figures, along with market and interest-rate sources for the valuation comparisons. My GitHub repository contains the related financial models, source checks, and validation records. The main sources are listed below.

Primary financial reporting sources:

- Walmart FY2026 Form 10-K, fiscal year ended January 31, 2026; filed March 13, 2026. Use the consolidated statements, debt/lease notes, cash disclosure and share data; reported facts are distinguished above from forecast assumptions.
- Walmart FY2027 Q2 Form 10-Q, period ended July 31, 2026; filed August 28, 2026.
- Target FY2026 Form 10-K, year ended January 31, 2026; filed March 11, 2026, and FY2027 Q2 Form 10-Q, period ended August 1, filed August 28, 2026.
- Costco FY2025 Form 10-K, year ended August 31, 2025, and FY2026 Q3 Form 10-Q, period ended May 10, filed June 3, 2026. Costco FY2026 10-K is not used because it was filed after the valuation date.

Market/rate sources and limitations:

- WMT historical prices (September 23, 2026 close $110.53); secondary source, not primary exchange evidence. Target and Costco historical prices are from TGT and COST history pages.
- U.S. Treasury daily yield-curve data; rate illustration uses a 10-year observation, while the selected Kroll ERP methodology calls for a spot 20-year Treasury rate.
- Kroll September 2026 cost-of-capital recommendations; published September 10, effective September 2, 2026; 5.00% U.S. ERP recommendation. It does not verify Walmart beta or the model's final WACC.
- ICE BofA US Corporate AA Effective Yield FRED series, observed September 23, 2026 at 5.66%; broad market proxy, not a Walmart-specific borrowing yield.

Supporting project files (these document my calculations but do not replace the original filings): `Walmart_Project_1_Edition_A.md`; preserved older `Walmart_Project_1_Edition_B.md`; `Walmart_Project1_Final_Valuation_Assumptions.md`; `Walmart_Project1_WACC_Evidence.md`; `Walmart_Project1_Equity_Bridge_Review.md`; `Walmart_Project1_Equity_Bridge_Validation.md`; `Walmart_Project1_Independent_Source_Check.md`; `Walmart_Project1_Model_Correction_Plan.md`; `Walmart_Project1_Model_V3_Changes.md`; `Walmart_Project1_Reverse_DCF_Evidence.md`; `Walmart_Project1_Comparable_Valuation_Triangulation.md`; and `Walmart_Project1_Final_Scenarios_and_Valuation_Range.md`. The V3 engines are `walmart_project1_proforma_v3.py` and `project1_fcff_v3.py`; scenario, reverse-DCF and comp calculation scripts are separately retained in the project folder.

The course's public FIN43900 Fall 2026 GitHub repository and Week 2 student handout provide general project/course context and valuation-evidence conventions. They are **not** asserted to host the personal Walmart models or reports listed above; those supporting files are local project artifacts unless separately published by the author.

Remaining Items to Verify

Before treating the valuation as fully verified, I would still need to confirm the following:

1. A source-supported WACC with consistent interest-rate, equity risk premium, beta, borrowing-cost, tax, and capital-weight assumptions.
2. A September 23 diluted share count rather than using an earlier basic share count or an annual average.
3. Cash, debt, and lease amounts that match the valuation date, including which cash is available to equity holders.
4. Consistent treatment of finance and operating leases across FCFF, enterprise value, and peer comparisons.
5. Whether noncontrolling interests and nonoperating investments require adjustments.
6. Working-capital classifications, supplier-financing arrangements, and the unusually large upside working-capital release.
7. The growth, margins, capital spending, taxes, and cash flow assumptions, including fiscal-year discounting.
8. More consistent peer comparisons and a defined margin-of-safety rule.

Until I have checked these items, I would continue to use the valuations as provisional estimates that help explain my **Watch–Defer** decision rather than as a guaranteed estimate of Walmart's share value.